

29 Risk transfer

8 primary questions | Oldest to newest

2026 objectives: 4.7.1, 4.7.4-4.7.5

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2005 Q1	8 marks
CA1-P2 September 2005 Q2	11 marks
CA1-P2 September 2006 Q4	14 marks
CA1-P2 September 2007 Q7	20 marks
CA1-P2 September 2013 Q4	16 marks
CA1-P2 April 2015 Q4	14 marks
CA1-P2 September 2017 Q4	14 marks
CA1-P2 April 2018 Q6	18 marks

CA1-P2 | April 2005 | Q1

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1**
- (i) Describe the main features of the two types of proportional reinsurance. [5]
 - (ii) Explain, by means of numerical examples, how the claim payment is divided between the reinsured and the reinsurer, in the event of a claim under each of the two types of proportional reinsurance. [3]
- [Total 8]

CA1-P2 | September 2005 | Q2

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 2**
- (i) State the reasons why an insurance company might wish to purchase reinsurance. [6]
 - (ii) Discuss the issues which an insurer should consider when assessing the security of a reinsurer. [5]
- [Total 11]

CA1-P2 | September 2006 | Q4

[Current topic](#) | [14 marks total](#) | [Original PDF p3](#)

Related: Ch 19.

- 4** (i) Outline the reasons why the claims experience of two major private motor insurance companies might differ significantly. [4]

A reinsurance company provides reinsurance cover on private motor insurance business.

- (ii) Discuss the principal ways in which the reinsurer might assist a new company to enter the private motor vehicle market. [10]

[Total 14]

CA1-P2 | September 2007 | Q7

Current topic | 20 marks total | Original PDF p4

Related: Ch 18.

- 7** A medium sized insurance company specialises in property insurance (buildings and contents).
- (i) Outline how the company can ensure it records good quality policy data. [5]
 - (ii) State the general features of excess-of-loss (XL) reinsurance. [2]
 - (iii) Discuss why the company might wish to obtain some type of XL reinsurance, and comment on the risks that each different type might protect against. [7]
 - (iv) State reasons why the company may wish to take out some form of alternative risk transfer contract instead of traditional reinsurance. [3]
 - (v) Give two examples of companies outside the insurance sector who might find it advantageous to swap packages of risk with this insurance company. [3]
- [Total 20]

CA1-P2 | September 2013 | Q4

Current topic | 16 marks total | Original PDF p3

Related: Ch 22.

- 4** A large defined benefit pension scheme provides an increasing pension benefit on retirement. The membership includes pensioners and deferred pensioners. The scheme's trustees want to reduce the longevity risks in the scheme and are considering the use of financial products.
- (i) Suggest suitable financial products that could be used and explain how the features of these products could reduce the longevity risks. [3]
- (ii) Outline the advantages and disadvantages of using the financial products identified in part (i) to reduce the longevity risk. [4]

One of the trustees has suggested the two following options to reduce the risks:

- Offering pensioners a one-off uplift to their pension in exchange for all future pension increases.
 - Offering deferred pensioners a higher than normal transfer value to encourage them to leave the scheme.
- (iii) (a) Discuss the merits of each offer.
- (b) Outline the factors that would need to be considered in determining the design for the offers. [9]
- [Total 16]

CA1-P2 | April 2015 | Q4

Current topic | 14 marks total | Original PDF p3

Related: Ch 5, Ch 26.

- 4**
- (i)
 - (a) Define longevity risk.
 - (b) Explain why an individual might want to transfer this risk. [2]
 - (ii) List the four main providers of benefits to an individual [2]
 - (iii) Describe how these providers can help individuals by sharing the financial risks associated with longevity, commenting on how effective these mechanisms might be for transferring longevity risk over the next fifty years. [7]
 - (iv) Suggest how longevity risk for a defined benefit pension scheme might be transferred within the alternative risk transfer market, explaining why investors might wish to accept this risk. [3]
- [Total 14]

CA1-P2 | September 2017 | Q4

Current topic | 14 marks total | Original PDF p2

Related: Ch 27.

- 4**
- (i) Outline the four key ways an insurance company may choose to deal with a new risk that it faces. [4]
- (ii) Compare the suitability of the main possible methods of risk transfer each of the following companies could use:
- A large global general insurance company
 - A general insurance company which writes only hurricane and earthquake risks on the east coast of North America. (The east coast of North America is exposed to high hurricane risk and lower earthquake risk.)

[10]

[Total 14]

CA1-P2 | April 2018 | Q6

Current topic | 18 marks total | Original PDF p3

Related: Ch 7, Ch 26.

- 6** A small general insurance company is based in a rural area. It mainly sells pet insurance. The majority of this business is obtained through local veterinary practices that act as agents and refer their customers to the insurance company.

The owner of one of the largest veterinary practices in the area has proposed that the insurance company expands by providing livestock insurance for the large local farming community.

- (i) Suggest how both the nature of the cover provided under this new line of business and the expected claims experience for livestock insurance is likely to differ from that of the existing pet insurance business. [5]
- (ii) Suggest the potential problems the insurance company would need to consider were it to expand as proposed. [7]
- (iii) Discuss how reinsurance might be used to mitigate some of the problems described in part (ii). [6]

[Total 18]